On Saturday, 20 August 2016, the government appointed Urjit R. Patel as the next Governor of the RBI, stating that for the first time, a 'systematic approach and objective mechanism' had been put in place to select the person for the post.

Urjit Patel, who had been serving as a Deputy Governor in the RBI since January 2013, had a distinguished academic record. He had completed his BA from the London School of Economics, MPhil from Oxford University, and his PhD in Economics from Yale University. He had worked at the IMF between 1990 and 1995, and was deputed from the IMF to the RBI in 1996–97. Between 1997 and 2006, he worked for Reliance Industries Limited as President of Business Development. From 2006–13, he was an independent director of the Gujarat State Petroleum Corporation (GSPC).

The appointment was not without controversy. The Comptroller and Auditor General of India (CAG) had castigated GSPC for mismanaging its exploration- and development-related activities in its KG Basin and overseas assets, leading to higher costs and financial losses.[16] Equally publicized at the time of Urjit Patel's appointment was his association, as a non-executive director, with the controversial Multi Commodity Exchange of India Limited (MCX) headed by Jignesh Shah, the prime accused in the ₹5,600 crore National Spot Exchange Ltd (NSEL) scam.[17]

Questions were therefore raised in the media about both his judgement and his ability to uphold the autonomy and integrity of the post of Governor of the RBI, given his previous positions as a director of companies that had been embroiled in scams during his tenure on their Boards.

On 29 August 2016, Governor Raghuram G. Rajan signed his transmittal letter[18] to Urjit Patel. The report[19] attached to the letter is interesting, in that it mentions a significant indent for ₹1,000 and ₹500 notes (subsequently demonetized) that were printed in 2016. There is no mention of the new ₹2,000 notes, or of the planned